

**INTERMEDIATE MACRO ECONOMICS (ECN 2215) TUTORIAL SHEET 4**

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**QUESTION ONE**

Define Money; distinguish between the following;

- a. Batter System and commodity money
- b. Token money and commodity money

**QUESTION TWO**

List and explain the functions of money?

**QUESTION THREE**

Prior to fiat money, economies used commodity money to transact, how would you justify the introduction of fiat money in comparison to commodity money and the batter system?

**QUESTION FOUR**

How does the concept of fiat money relate to the concept of legal tender?

**QUESTION FIVE**

With examples, define financial intermediation?

**QUESTION SIX**

Describe the process of money creation?

**QUESTION SEVEN**

Characterise a typical commercial bank balance sheet?

**QUESTION EIGHT**

Given a required reserve ratio of 10% and that 80% of the loans issued by ZANACO are redeposited into the bank, use your knowledge about balance sheets to illustrate how ZANACO would create money equal to K895.38 from an initial deposit of K400 received from Mr. Haggai Mataa?

**QUESTION NINE**

Based on your answer in NINE above, show that the final deposit on ZANACO's balance sheet will be K4000?

Discuss the relevance of the Bank of Zambia's banking system?

**QUESTION ELEVEN**

Discuss the three ways through which the BoZ can regulate the level of money supply in the economy?

**QUESTION TWELVE**

Discuss the three motives for holding money?

**QUESTION THIRTEEN**

Using the speculative motive of demand for money, explain why the value of interest bearing bonds is inversely related to the interest rate?

**QUESTION FOURTEEN**

Using a well labelled and explained diagram, illustrate equilibrium in the money market? What may lead to movements and shifts along and of the money demand curve? On your diagram, indicate two levels of interest rate (besides the equilibrium interest rate) which indicate excess demand and supply? How would the central bank restore equilibrium in each case?